foreign secretary-level in order to resolve the problem, however, only a single round of talk has taken place in 2015.

2. Internal Security

- There is an open border between India and Nepal which leads to illegal migration and human trafficking.
- Indo-Nepal border is used as launch pad by maoist, terrorist and drug traffickers.

3. Trade

- Nepal's trade deficit with India has surged in recent years with continuously rising imports and sluggish exports.
- Indo-Nepal trade continues to remain massively in India's favor.

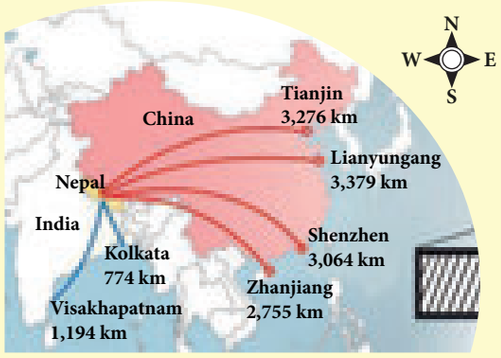
4. Peace and Friendship Treaty

- The India-Nepal Treaty of 1950 has been criticized by the Nepali political elite as an unequal one.
- Treaty obliged Nepal to inform India and seek its consent for the purchases of military hardware from third countries. Nepal wants to change this provision.
- The Nepal-India Eminent Persons' Group (EPG) is revisiting all bilateral agreements to submit a comprehensive report to both governments on how to reset bilateral relations.

5. Nepal's growing proximity to China

- Nepal's attempt to balance the overwhelming presence of India next door by reaching out to China is resented by India as such actions heighten India's security concerns.
- Chinese are building a number of highways from the Tibetan side into Nepal, all the way down to East-West highway that traverses Nepal.
- China plans to extend the Tibet railway to Kathmandu across the border in the next few years.
- Nepal signed the Belt and Road Initiative (BRI) Framework agreement with China last year.
- China is trying to contest Indian interests by cultivating local interest groups that could advance China's interests in Nepal.

Land-locked himalayan kingdom just got alternate trade routes, but will it help?



- According to the Transit and Transport Agreement between Nepal and China. Nepalese traders can use rail or road to access seaports.
- China to give permit to trucks and containers ferrying Nepal bound cargo to and from Xigatse in Tibet.
- Nepal to access Chinese territory from six check points.

ROADBLOCKS

- Distance an issue as nearest Chinese port is more than 2.000km away from Nepal.
- Traders say lack of proper roads and customs infrastructure on the Nepalese side is a challenge.

Transit and Transport deal

- Nepal and China finalized the Protocol of **Transit and Transport deal**. As per the agreement Nepal can access four ports and three dry ports paving way for the use of Chinese ports for trade. This will reduce Nepal's dependency on India for its trade.
- These and other road and railway projects between China and Nepal will allow China to potentially project power against India on a different section of the Sino-Indian boundary.

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